Punjabis, Marwaris and Bengalis were mostly engaged in wholesale and import-export trade, there was also a large number of South Indians mainly engaged in retail. Singapore, as one of the few well developed urban centres of Malaya, had an Indian population constituting between seven and nine per cent of the total population. With the help of the R&AW, the LTTE managed to recruit several assets in the region. A US embassy cable of 1987 later made public by Wikileaks said the LTTE at that time was indisputably the predominant Tamil separatist organisation, having cowed rival militant groups, supplanted the moderate groups as the leading political light of the Tamil cause, slipped the bonds of Indian tutelage and established a functioning, even though limited, civil administration in territory under their control.

Prabhakaran had returned to Jaffna after three years of exile in Tamil Nadu and revamped the politico-military structure of the group. The cable said:

LTTE has divided the north and East into 5 regional command structures, each with an overall regional commander who reports directly to Prabhakaran. Each of the 5 regions is further subdivided into smaller areas, with a designated local leader, who reports to the regional commander. The 5 regions were Jaffna, Mannar, Vavuniya, Trincomalee and Batticaloa. The number 5 is considered to be very lucky in Tamil Nadu mythology, and one military contact says Prabhakaran set up 5 regional commands for this reason. The LTTE operational command structure is highly centralised and is dominated by Prabhakaran. Jaffna plays the key role overall, both because of the LTTE control and freedom of operation there, as well as the fact that Jaffna Tamils dominate the LTTE's ranks. The tigers run a sophisticated radio communication network between the